

Calderwood Partners LLC

www.calderwoodpartners.com

February 6, 2011

Melissa Johnson
General Manager
Scott, Smith and Edwards

Dear Ms. Johnson:

Thank you for the time you and your colleagues have given us over recent weeks in describing how Scott, Smith and Edwards runs today and what you would want a reconsidered operating model to make possible. I am writing to record, as plainly as I am able, the terms on which our firm would carry that work forward, so that once you have read this letter and, if it sets out the understanding we reached, returned a signed copy to me, there is a single document to which either of us may turn should a question ever arise about what we agreed. I have tried throughout to describe only what I am confident the firm can deliver, and if any passage here reads as promising more than that, I would ask you to raise it with me before you sign.

The Work You Have Asked Us to Undertake

As I understand the assignment, Scott, Smith and Edwards has reached a point where the way the business is organised to serve its customers, and in particular the way its online channels sit alongside the rest of the operation, deserves a considered examination from outside. You have asked us to look at the operating model as a whole, at the roles and the responsibilities that compose it, at the processes that connect them, and at the economics that sit beneath them, and to return to you with a design you can act on. Our work will move from an orderly reading of how the organisation operates today, through a view of where the digital channels genuinely change what the work requires, to a set of recommendations on the structure, the processes, and the investment that a revised model would call for. What the engagement does not extend to is the running of your operation, which remains entirely yours to direct, nor to legal, tax, or accounting advice, on which you should continue to rely on the advisers who ordinarily provide it; where our analysis touches those matters, what we offer is a reasoned business view and not a professional opinion in their place.

How We Propose to Proceed

Our manner of working is deliberate, and I hope you will find it plain rather than clever. We begin by listening, to you and to the people who already carry a working view of how the day is actually run, and only then do we set down the small number of judgments the operating model truly turns on and build the analysis outward from them, so that every recommendation we eventually place before you can be traced back to the evidence that supports it. Where that evidence will bear a firm recommendation we will give you one, and where it will bear only a range or a caution we will tell you that instead, because a recommendation that outruns what we actually know is of no use to you and no credit to us.

The People on the Engagement

I will keep my own hand on the engagement and will read anything of consequence before it leaves the firm under our name, but the daily work would sit with two of our people whom I would ask you to come to know. Jason Torres, a Principal of the firm, would lead the engagement and be your point of contact from the first meeting through to the close; he is direct in the way that operators tend to prefer, and I would encourage you to be as direct with him in return. Deborah Allen, a Consultant, would carry the analysis and build the exhibits on which the recommendations rest, and she keeps her work close to the evidence, so that a question about any figure can be answered from its source rather than from memory. You are welcome to reach me at any time, though for most day-to-day matters Jason Torres will be the quicker route to an answer.

Fee and Start Date

Our fee for the engagement as I have described it is \$106,000, which covers the time of the people named above through the completion of the work, and against which we will render invoices as the engagement proceeds. The work would begin on February 16, 2011, and we would move into the first interviews and information requests promptly thereafter, so that the early weeks are not lost to setting up what could have been arranged in advance.

Fees and Payment

Each invoice we render against the fee stated above will be payable within thirty days of your receipt of it. The fee covers our people and their time and not the incidental costs of the assignment, such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us and no more; and should the shape of the work change materially from what

this letter contemplates, I will raise the question of the fee with you and we will settle it together before any further work is done, so that nothing ever reaches you on an invoice as a surprise.

Term and Termination

We expect the engagement to run for something on the order of three months, though I would ask you to treat that as an honest estimate of the work rather than a promise about the calendar, since we will regard the assignment as complete when it is genuinely done and not merely when a given number of weeks has passed. Either of us may bring the engagement to an end on thirty days' written notice to the other, and if you choose to do so you will owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Everything we learn about Scott, Smith and Edwards in the course of this work we will hold in confidence and use only for the purposes of the engagement. That obligation binds every member of the team, it survives the end of our work together, and it covers the fact of our involvement as fully as it covers its substance. We would ask the same of you in respect of the methods and the written materials we share with you, which represent the firm's own way of working and are meant for your use and not for wider circulation.

Limitation of Liability

We will perform the work with the care and skill you are entitled to expect of a firm engaged for it, and we stand behind what we do. We do not, however, control the commercial and operational decisions that Scott, Smith and Edwards will ultimately take on the strength of our advice, nor the conditions in which those decisions play out, and so, save to the extent the law does not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

Governing Law

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be determined by the courts of that state. Should any single provision of this letter be held unenforceable, the remainder will continue in force, unaffected by it.

If this letter reflects the understanding we reached, I would be grateful if you would sign the enclosed copy where indicated below and return it to me, keeping the

second copy for your own file; once your signed copy is in my hands, Jason Torres will write to you to fix the first meetings and the initial requests for information, so that we can begin without delay.

Julie Ramsey

Managing Principal

Date: February 6, 2011

Melissa Johnson

General Manager, Scott, Smith and Edwards

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